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Case Number: 25STCV04975 Hearing Date: July 9, 2026 Dept: 529

JERRY CAMPISI, ET AL. VS GLOBAL INTEGRITY

REALTY CORPORATION

DEMURRER

TO FIRST AMENDED COMPLAINT

Date of Hearing: July 9, 2026 Trial

Date: September 14, 2026

Department: 529 Case

No.: 25STCV04975

Moving Party: Defendant Global

Integrity Realty Corporation

Responding

Party: Plaintiffs Jerry Campisi,

Chritopher Hart, Whitney Starr, Brian Valdez, Valerie Martinez and Omar Maya

Meet and

Confer: Yes. Taylor Decl.

BACKGROUND

On February

21, 2025, Plaintiffs Jerry Campisi, Chritopher Hart, Whitney Starr, Brian

Valdez, Valerie Martinez and Omar Maya filed a complaint against Defendants Global

Integrity Realty Corporation for Violations of the Investigative Consumer

Reporting Agencies Act ("ICRAA") – Civ. Code §1786 et seq.; Failure to Provide Receipt for Tenant Screening – Civ. Code §1950.6; and Declaratory Relief.

On March 11, 2026, Plaintiffs filed a First Amended Complaint.

[TENTATIVE]

RULING:

Defendant

Global Integrity Realty Corporation's Demurrer to the First Amended Complaint is OVERRULED, in part. Defendant Global Integrity Realty Corporation's Motion to Strike is DENIED.

DISCUSSION

Defendant Global Integrity Realty Corporation demurs to the First Amended Complaint by Plaintiffs Jerry Campisi, Christopher Hart, Whitney Starr, Brian Valdez, Valerie Martinez and Omar Maya on the grounds that the First Amended Complaint fails to state claims for causes of action two through seven for Negligence, Violations of Unfair Competition Law, Violations of the Consumer Legal Remedies Act, Invasion of Privacy, False Advertisement, and Fraud. Defendant also seeks to strike Plaintiff's allegations for punitive damages.

Second Cause of Action

Defendant demurs to the second cause of action for negligence on the grounds Plaintiffs cannot satisfy the injury requirement.

To plead a cause of action for negligence, one must allege (1) a legal duty owed to plaintiffs to use due care; (2) breach of duty; (3) causation; and (4) damage to plaintiff. (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal. App. 4th 292, 318.) Evidence Code section 669, holds that "a presumption of negligence arises from the violation of a statute which was enacted to protect a class of persons of which the plaintiff is a member against the type of harm which the plaintiff suffered as a result of the violation of the statute." (*Urhausen v. Longs Drugstores Cal., Inc.* (2007) 155 Cal.App.4th 254, 267.)

Defendant argues it is difficult to link Defendant's breach to Plaintiffs' damages or to even determine whether Plaintiff suffered damages constituting an actual, concrete injury. Outside of conclusory allegations of "actual damages," "emotional distress," and invasion of privacy rights", Defendant contends Plaintiff's allegations that Defendant violated ICCRA by not providing Plaintiffs' the opportunity to check a box to request copies of the Reports is a legal injury that cannot satisfy the well-settled injury requirement for negligence. Rather, Plaintiffs need to allege facts that establish Defendant's violation either resulted in Plaintiff's identity being stolen or Defendant took an adverse action based on the report, for example.

In opposition, Plaintiffs argue the allegations are sufficient. Rather, Defendant's demurrer refuses to acknowledge (1) Plaintiffs have any privacy rights in the contents of reports that are regulated to protect privacy rights, (2) GIRC spent Plaintiffs' money on reports GIRC had no right to, and (3) Plaintiffs had a right to those reports.

The court finds Plaintiffs have sufficiently alleged a negligence claim for the purposes of a demurrer. Plaintiff's damages are based on Defendant using a portion of each application fee to pay for investigative consumer reports about Plaintiffs, obtaining private information about Plaintiffs through these reports, and not providing a means by which the Plaintiffs could indicate that he or she wished to receive a copy of any report. Whether those damages can be proven are not appropriate for demurrer. On demurrer, the court must accept the allegation that Plaintiffs paid money and were deprived of a statutory entitlement, and must construe it liberally. (*Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967.) The complaint, here, alleges a cognizable injury. Defendant raises other new arguments in reply which the court does not consider here.

Based on the foregoing, the demurrer to the second cause of action is OVERRULED.

Third Cause of Action

Defendant demurs to the third cause of action for violation of the UCL on the grounds Plaintiffs cannot satisfy the injury requirement.

To

successfully plead a UCL claim for unfair business practices, a plaintiff must allege facts justifying relief in the form of protecting the public from unfair business practices or deceptive advertising. (Day v. AT&T Corp. (1998) 63 Cal.App.4th 325, 331-332.) A plaintiff must plead and prove that the defendant engaged in a business practice that was either unlawful (i.e., is forbidden by law) or unfair (i.e., harm to victim outweighs any benefit) or fraudulent (i.e., is likely to deceive members of the public). (Albillo v. Intermodal Container Services, Inc. (2003) 114 Cal.App.4th 190, 206.) Pursuant to Business and Professions Code section 17204, a private party must have "suffered injury in fact and has lost money or property as a result of the unfair competition" to pursue a claim.

Defendant first argues there is no violation or injury under Section 1950.6(b) because the alleged \$30 used to process the application fee may be used for out of pocket costs to cover any background information obtained under the Section. Moreover, the deprivation of the fee cannot constitute a "loss of money" under the UCL for the purposes of establishing a legal injury as the approximately \$30 application fee is a legally permissible fee payment. Defendant also notes Plaintiffs were rented the units they sought, and therefore cannot sustain a claim for the purposes of the UCL. (See Yeh v. Barrington Pacific LLC (2026) 117 Cal.App.5th 1303 holding "[p]laintiffs identify no lost opportunity, adverse action, or financial detriment caused by the timing or absence of the report. Indeed, their applications were approved and they obtained the very housing they sought.")

In opposition, Plaintiffs argue Plaintiffs have sufficiently brought an unfair business practices cause of action based upon Defendant's violations of the ICRAA as well as Civil Code section 1950.6. Here, Defendant had a statutory obligation to only charge Plaintiffs for Defendant's actual, out-of-pocket expenses, and to provide Plaintiffs with copies of consumer credit reports, or, if no reports were obtained, to return the amount Plaintiffs paid Defendant for reports. As alleged, Defendant collected application screening fees, while failing to provide Plaintiffs with copies of reports prepared about them thus depriving Plaintiffs of both money and property.

The court finds Plaintiffs have alleged sufficient facts to support a claim for violation of the UCL based upon Defendant's violation of Civil Code section 1950.6. While they obtained housing, they suffered economic injury by paying for services they did not fully receive. (See Civ. Code §1950.6(f).) The court does note Yeh has held there was

no UCL claim in the ICRAA where the plaintiffs received what they paid for (application processing) despite the statutory violation. However, where a portion of the complaint stated a cause of action, a general demurrer to the whole complaint was improperly sustained. (*Jones v. Iverson* (1900) 131 Cal. 101, 104.)

Based on the foregoing, the demurrer to the third cause of action is OVERRULED.

Fourth Cause of Action

Defendant demurs to the fourth cause of action for violation of the CLRA on the grounds the statute's notice requirements were not met and ICRAA preempts its application.

"The CLRA makes unlawful, in Civil Code section 1770, subdivision (a) ... various 'unfair methods of competition and unfair or deceptive acts or practices undertaken by any person in a transaction intended to result or which results in the sale or lease of goods or services to any consumer.' The CLRA proscribes 27 specific acts or practices." (*Rubenstein v. The Gap, Inc.* (2017) 14 Cal.App.5th 870, 880-881.)

Defendant argues the CLRA only applies to the sale of goods and services, not to the rental of real property. Additionally, the CLRA requires a 30-day notice pre-suit to allow the defendant an opportunity to cure the issue. Here, there are no allegations of notice in the FAC.

In opposition, Plaintiffs argue authority that provides the CLRA does not apply to this matter because the ICRAA preempts it. Moreover, an action for injunctive relief brought under the CLRA may be brought without need to comply with the 30-day notice required when damages are sought.

The court agrees the CLRA claim does not apply to real property. "Goods" are unequivocally chattels under the CLRA and, therefore, real property is not a "good" under the CLRA. "Services" means work, labor, and services for other than a commercial or business use, including services furnished in connection with the sale or repair of goods." Civil Code § 1761(b). The rental of real property does not fall within these definitions.

Based on the foregoing, the demurrer to the fourth cause of action is SUSTAINED WITHOUT LEAVE TO AMEND.

Fifth Cause of Action

Defendant demurs to the fifth cause of action for invasion of privacy fails because there are insufficient facts to establish a claim.

An invasion of privacy claim requires a protected privacy interest, a reasonable expectation of privacy, and a serious invasion. (Hill v. National Collegiate Athletic Assn. (1994) 7 Cal.4th 1, 37.)

Defendant argues the allegations in the FAC fail to state that the Plaintiffs had a reasonable expectation that Defendants would not obtain information about them. There are no allegations that Plaintiffs did not consent to Defendant obtaining information that was relevant to determining whether Plaintiffs were appropriate tenants. Rather, Plaintiffs consented to such checks by signing the authorization and completing the rental application. Moreover, the alleged belief that Defendants would not “would not solicit, provide or receive information concerning their character . . . unless Defendants complied with all the governing laws in the state of California[]” is irrelevant to the central issue of whether Defendant intruded on Plaintiffs’ expectation of privacy. Viewing the allegations altogether, Defendant contends the fifth cause of action is merely duplicative of the ICRAA cause of action.

In opposition, Plaintiff argues privacy rights are neither abandoned by coerced consent, nor by bringing ICRAA actions. Plaintiffs have properly pled their invasion of privacy cause of action and demurrer cannot be sustained. (See Connor v. First Student, Inc. (2018) 5 Cal.5th 1026, 1032-1033; see also Civ. Code, § 1786.52 [confirming ICRAA litigant’s right to bring invasion of privacy action].) With due respect for prospective tenants’ privacy, the ICRAA makes clear that a landlord has no right to procure investigative consumer reports in housing applications unless the conditions precedent identified in Civil Code section 1786.16 have been fulfilled. (Civ. Code, § 1786.16(a); see also Civ. Code, § 1786(b).) Here, Plaintiffs have properly alleged that Defendant invaded their privacy interests by procuring investigative consumer reports about them, without fulfilling the requisite preconditions.

The court finds the allegations sufficient for the

purposes of a demurrer. Civil Code section 1786.52 explicitly preserves invasion of privacy claims, stating that “Nothing in this chapter shall in any way affect the right of any consumer to maintain an action against an investigative consumer reporting agency, a user of an investigative consumer report, or an informant for invasion of privacy or defamation.” When a landlord fails to meet statutory preconditions of Civil Code section 1786.16, they violate both the ICRAA's procedural safeguards and potentially invade the tenant's privacy rights.

Based on the foregoing, the demurrer to the fifth cause of action is OVERRULED.

Sixth Cause of Action

Defendant demurs to the sixth cause of action for false advertising on the grounds there are insufficient facts to establish a claim.

A cause of action for false advertising requires the following elements: (1) the statements in the advertising materials made or disseminated by Defendant are untrue or misleading and (2) Defendant knew, or by the exercise of reasonable care should have known, the statements were untrue or misleading. (See Business & Professions Code §17500.1; see also *People v. Lynam* (1967) 253 Cal.App.2d 959, 965-966.)

Defendant argues the only alleged misrepresentation in the FAC is a generic statement that “In connection with Defendant's rental application and tenant-screening process, Defendant made statements and representations to prospective applicants, including Plaintiffs, in application materials and related communications, concerning the tenant-screening process and the availability of required disclosures and the opportunity for applicants to request and obtain a copy of investigative consumer reports procured in connection with the application.” (FAC ¶172.) Defendant contends there are no facts alleging that these statements were made as part of an “extensive and long term advertising campaign.” Even with a properly plead misrepresentation, the allegations in the FAC are too thin to establish reliance.

In opposition, Plaintiff argues Plaintiffs have sufficiently alleged that they lost the value of the amount spent on the application fee,

while also being deprived of their property interest in the reports themselves. Since Plaintiffs have also alleged these losses were induced by Defendant's false advertisements, Plaintiffs' False Advertising cause of action has been sufficiently pled.

The court finds the allegations sufficient for the purposes of a demurrer. Reading the complaint as a whole, the complaint sufficiently alleges Defendant made statements and representations concerning the tenant-screening process, the availability of required disclosures and the opportunity to request investigative consumer reports; they were false because Defendant did not comply with those statements and Plaintiff was harmed as a result.

Based on the foregoing, the demurrer to the sixth cause of action is OVERRULED.

Seventh Cause of Action

Defendant demurs to the seventh cause of action for fraud on the grounds there are insufficient facts to establish a claim.

The elements of fraud are: "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 184.) In California, fraud, including negligent misrepresentation, must be pled with specificity. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 184.)

Defendant argues the fraud claim fails for several reasons. First, the allegations of fraud in the FAC coningle allegedly fraudulent statements and falsified evidence offered during separate litigation proceedings (Plaintiffs' counsel has filed about 20 of these lawsuits against Defendant Global Integrity Realty Corporation) with the allegedly fraudulent statements made to induce Plaintiffs to submit the allegedly ICRAA-defective rental applications. Moreover, the FAC does not contain a specific statement of any misrepresentation, or even a description of the content of the alleged misrepresentations. Instead, it reiterates a broad general and vague statement that Defendant made "statements and representations" to Plaintiffs, in "application materials and related communications, concerning the

tenant-screening process . . .” Moreover, the allegations in the FAC do not show a “reasonable probability” that Defendant’s alleged failure to accurately represent that the rental application fully complied with ICRAA would be material enough to induce reasonable people in Plaintiffs’ positions to refuse to pay to complete a rental application and forgo entering into a lease agreement.

In opposition, Plaintiff argues the statutory privilege afforded to statements made in judicial proceedings does not shield a defendant from liability relating to statements made outside of judicial proceedings. Litigation privilege also does not apply to causes of action based on statutory entitlements that are more specific than the litigation privilege and the two are irreconcilable. (See *People v. Persolve, LLC* (2013) 218 Cal.App.4th 1267 [finding no litigation privilege barring unfair competition law claims based on conduct specifically prohibited by the Rosenthal Fair Debt Collection Practices Act].)

Regarding the litigation privilege, the court finds the allegations unclear. Reading these allegations, it is unclear whether these are misrepresentations made in pre-litigation or during judicial proceedings. The first part reads as pre-litigation misrepresentations (compliance with the ICRAA) and the remaining allegations deal with “written communications” after suit was filed and the verified discovery responses, which are classic litigation-related communications. Moreover, it is unclear what the misrepresentations were here that actually induced conduct on the part of the plaintiffs.

Based on the foregoing, the demurrer to the seventh cause of action is SUSTAINED WITH LEAVE TO AMEND.

Motion to Strike

Defendant moves to strike portions of Plaintiff’s First Amended Complaint regarding punitive damages.

Motions to strike are used to reach defects or objections to pleadings that are not challengeable by demurrer (i.e., words, phrases, prayer for damages, etc.). (See CCP §§435, 436 & 437.) A motion to strike must be filed within the time allowed to respond (e.g., 30 days after service of the complaint or cross-complaint) unless extended by

court order. Where there are grounds for a demurrer and a motion to strike, they must be filed together and noticed for hearing at the same time. (CCP §435(b)(3) and CRC Rule 329.) A motion to strike can be made to strike irrelevant, false or improper matter inserted in any pleading or to strike any pleading or part thereof not drawn or filed in conformity with the laws of this state, a court rule or order of the court. (CCP §436.)

Punitive Damages are recoverable where the defendant has been guilty of oppression, fraud, or malice, express or implied. (Civ. Code §3294.) "Something more than the mere commission of a tort is always required for punitive damages. There must be circumstances of aggravation or outrage, such as spite or malice, or a fraudulent or evil motive on the part of the defendant, or such a conscious and deliberate disregard of the interests of others that his conduct may be called willful or wanton." (Taylor v. Superior Court (1979) 24 Cal.3d 890, 894.)

Defendant argues the allegations at most are general and conclusory. The FAC alleges (1) "deliberate planned violations of the ICRAA;" (2) "Defendants' conduct and violations of the ICRAA was and is willful and grossly negligent;" and (3) "Defendants acted in deliberate or reckless disregard of their obligations and the rights of the Plaintiffs." (FAC ¶24, 25.) Defendant maintains these allegations do not establish the key prerequisites for punitive damages: "oppression, fraud, or malice."

The court finds the allegations sufficient to support a claim for punitive damages. Plaintiff has alleged Defendant knew of and disregarded its obligations. As noted by Defendant, punitive damages are available under the ICRAA cause of action. The punitive damages could also survive with a properly pleaded fraud claim.

Based on the foregoing, the motion to strike is DENIED.